

# Newborn Medical Contractual Liability Insurance Policy

Named Insured: <<Named Insured>>  
Policy Number: <<Policy Number>>

Effective Date: <<Trans Eff Date>>

This Policy is a legal contract between the Named Insured and the Company. The Company agrees to insure the Named Insured against loss covered by this Policy subject to its provisions, limitations and exclusions provided the premium specified has been paid in the required manner.

This Policy is issued in consideration of the payment of the required premium when due. All information supplied to Us by or on behalf of the Insured Intended Parent(s) is deemed to be incorporated in and shall form the basis of this Policy.

This Insurance is to indemnify the Insured Intended Parent(s) up to the Limit of Liability stated in the Declarations for their liability assumed under Contract to pay Newborn medical expenses incurred during the Coverage Period.

This Policy begins on the Effective Date shown in the Declarations and continues in effect until the Policy Termination Date as long as premiums are paid when due, unless otherwise terminated as further provided in this Policy. This policy is non-renewable.

This Policy is governed by the laws of the state where it is delivered.

## IMPORTANT NOTICE

**THIS IS LIMITED BENEFIT COVERAGE.  
READ IT CAREFULLY.  
THE POLICY IS NOT RENEWABLE.**

Important Notice to US Citizens/Residents regarding the Patient Protection and Affordable Care Act: This insurance is not subject to, and does not provide certain of the insurance benefits required by the United States' Patient Protection and Affordable Care Act ("ACA"). This insurance does not provide, and the Company does not intend to provide, minimum essential coverage under ACA. This is a limited benefit short duration coverage. In no event will Benefits be provided in excess of those specified in this Policy. The Named Insured should consult their attorney or tax professional to determine if ACA's requirements are applicable to them.

**THIS POLICY IS ISSUED ON A NON-ADMITTED OR SURPLUS LINE BASIS. THIS MEANS THAT THE TERMS AND CONDITIONS OF THIS POLICY MAY NOT COMPLY WITH STATE INSURANCE LAWS OR REGULATIONS GOVERNING LICENSED AND ADMITTED COMPANIES, AND THAT THE INABILITY OF CONVEX INSURANCE UK LIMITED TO PAY CLAIMS IS NOT COVERED BY THE INSURANCE GUARANTY FUNDS OF THE DISTRICT OF COLUMBIA OR ANY OTHER JURISDICTIONS IN THE UNITED STATES OF AMERICA.**

## POLICY EFFECTIVE AND TERMINATION DATES

**Effective Date** This Policy and the insurance provided by it become effective on 12:01 A.M. Standard Time at the location of the Named Insured on the Effective Date shown in the Declarations. This Policy and the insurance provided by it will cease, at 12:01A.M. Standard Time at the location of the Named Insured on the date determined in accordance with the Termination provision.

**Termination Date** Insurance coverage under this Policy will terminate:

1. If the maternity of the Surrogate terminates for all embryos or fetuses, other than by a live birth;
2. If Your Surrogate moves outside of the 48-state contiguous United States of America, including the District of Columbia;
3. In accordance with the Coverage Period as stated herein;
4. To inception by Us for fraud, concealment and/or for any misrepresentation of information deemed material on the part of the Insured Intended Parent(s) and/or their Surrogate;
5. On the death of the Newborn;
6. At the end of sixty (60) days from the date of Childbirth or until initial return of the Newborn to the Insured Intended Parent(s)' Home Country, whichever is earlier.
7. Failure of a successful transfer to occur within 6 months of the date of enrollment and payment of initial premium.
8. Failure by the Insured Intended Parents to report to the Company a successful transfer within 16 weeks post-transfer or 204 days beyond the date of enrollment and payment of initial premium.
9. Failure by the Insured Intended Parents to fund the Self-Insured Retention Amount and pay the remaining premiums and fees within 16 weeks post-transfer.

## PREMIUM

The initial Premium for this Policy is due prior to the Effective Date of coverage. Premiums are considered as paid when received by Us or our designated Administrator.

## CANCELLATION AND PREMIUM REFUND PROVISION

Insured Intended Parent(s) understand and agree that the following provisions apply related to requests for cancellation of the Policy as well as Our conditions for the granting of a premium refund:

1. In the event of a request to cancel the coverage within the first 10 days of enrollment is received, then 100% of the premium will be refunded along with the Self-Insured Retention Amount. All policy issuance fees will be retained.
2. In the event of failure of a successful transfer to occur within 6 months of the date of enrollment and payment of initial premium, initial premium will be refunded and any applicable fees paid will be retained.
3. In the event of miscarriage, stillbirth, or spontaneous abortion of all embryos after successful transfer and payment of the Self-Insured Retention Amount and premiums and fees. All paid premium will be refunded along with the Self-Insured Retention Amount, and any applicable fees paid as of the time of the event will be retained. For purposes of the terms of the Policy, a miscarriage means the spontaneous loss of a fetus before the twentieth (21<sup>st</sup>) week of pregnancy. Pregnancy losses on or after the twentieth (21<sup>st</sup>) week are referred to as stillbirths.

## DEFINITIONS

Unless specifically defined elsewhere, wherever used in the Policy, the following terms have the meanings given below, whether capitalized or in bold font or not:

**Age** means Age on the Surrogate's last birthday.

**Administrator** means Our authorized representative appointed to coordinate, Pre-Certify and negotiate all necessary Newborn related medical services and expenses.

**Ambulance Services**

Transportation for a Medical Necessary condition:

1. By professional ambulance to and from a Hospital.
2. By regularly scheduled airline, railroad or air ambulance to the nearest Hospital qualified to give the required treatment. Ambulance Services must be Medically Necessary. These services must be given within the contiguous United States.

**Balance Billing** means the Insured Intended Parent(s) will be responsible for payment of any Newborn medical expenses not indemnified under this Policy. These charges are in addition to the Insured Intended Parents agreed Self-Insured Retention Amount.

**Childbirth** includes both labor (the process of birth) and delivery (the birth itself) through either vaginal or caesarean method.

**Company** means Convex Insurance UK Limited, a company registered in England & Wales and not admitted in any U.S. jurisdiction.

**Contract** means a contractual relationship between the Insured Intended Parent(s) and the Surrogate in which the Insured Intended Parent(s) have agreed to assume the financial responsibility for payment of Newborn's medical services and expenses.

**Coverage** means the insurance coverage provided by the Policy and any additional riders, endorsements or amendments as shown in the Declarations.

**Coverage Period** means the period beginning from the moment of Childbirth until the earlier of any return to the Home Country by the Newborn(s) or sixty (60) consecutive days from the date of Childbirth of the last Newborn to be born, if applicable.

**Covered Expenses** mean the amounts the Company and its designated Administrator determines that the Policy will pay for Medically Necessary services.

1. All items as enumerated in the Description of Coverages section.
2. For Pre-Certified services, costs are covered at 100% up to the Plan Maximum. The Administrator will exhaust the Self-Insured Retention Amount prior to paying on behalf of the Company. You are not responsible for any difference between allowed amounts and the amount the provider bills.
3. For services that are not Pre-Certified, our Administrator will negotiate an equitable settlement amount with a provider or Physician.—We reserve the right to limit the reimbursement to 200% of the Usual and Customary amount. You may be responsible for any difference between the amount the provider bills you and the amount the Administrator will pay for allowed amounts and may be Balance Billed.

**Experimental or Investigative** means treatment, a device or prescription medication which is recommended by a Physician, but is not considered by the medical community as a whole to be safe and effective for the condition for which the treatment, device or prescription medication is being used, including any treatment, procedure, facility, equipment, drugs, drug usage, devices, or supplies not recognized as accepted medical practice; and any of those items requiring federal or other governmental agency approval not received at the time services are rendered. The Company will make the final determination as to what is Experimental or Investigative.

**Home Country** means the Insured Intended Parent(s)' country of domicile and where they hold a legal passport.

**Hospital** means a facility that:

1. Provides 24-hour continuous service to confined patients;
2. Provides, as its chief function, diagnostic and therapeutic facilities for the surgical and medical diagnosis, treatment, and care of injured or sick persons;
3. Has a professional staff of one or more licensed physicians and surgeons to provide or supervise its services at all times;
4. Provides general Hospital and major surgical facilities and services either:
  - a. On its own premises; or,
  - b. In a facility available to it on a pre-arranged basis;
5. Provides 24-hour nursing services by and under the supervision of a registered graduate nurse on a regular and continuous basis;
6. Is operated in accordance with the laws of the jurisdiction in which it is located; and,
7. Is legally licensed as a medical or surgical Hospital in the State in which it is located.

A Hospital cannot be:

1. A convalescent or extended care facility unit within or affiliated with the Hospital;
2. A nursing, rest, or convalescent home, or extended care facility;
3. An institution operated mainly for care of the aged or for treatment of mental disease, drug addiction, alcoholism; or,
4. A health resort, spa, or sanitarium.

**Immediate Family Member** means husband, wife, mother, father, mother-in-law, father-in-law, step-parents, step-brother, step-sister, grandparents, son, daughter, brother or sister.

**Insured Intended Parent(s)** means the person(s) named in the Declarations as the Insured Intended Parent(s); who is/are eligible for coverage under the Policy; is party to a Contract with a Surrogate, in which the Surrogate has agreed to be impregnated, carry and give birth for the Insured Intended Parent(s), for whom We have accepted the appropriate paid premium and agreed Self-Insured Retention Amount and who have been approved by Us or the Administrator.

**Limit of Liability** means the total amount of money that will be paid for all covered claims under this Policy.

**Loss Occurrence** means medical expenses for services relating to the Newborn during the Coverage Period and diagnosed by a Physician as a distinct Medically Necessary and appropriate condition. A Loss Occurrence may include a prepaid or pre-negotiated service that is considered normal and Medically Necessary for care of the Newborn.

**Medically Necessary** means services or supplies provided by a Hospital, Physician, or Provider that are required to identify or treat a Loss Occurrence related to the Newborn, and which, as determined by Us:

1. Provides for the diagnosis, prevention, or treatment for a covered medical condition,
2. Is appropriate for the diagnosis, prevention, or treatment of a covered medical condition,
3. Is within the standards of good and generally accepted medical practice, as reflected by scientific and peer medical literature, and recognized within the organized medical community,
4. Is not primarily for the convenience of the patient, her family, her Physician, her Hospital, or her Providers and is not conducted solely for research purposes.
5. Is care or treatment which could not have been omitted without adversely affecting the Newborn's condition or quality of medical care rendered.
6. Is the most appropriate level of service or supply which can be provided safely and effectively.
7. Is typically performed and incurred within the first 60 days of life.

The fact that any Physician may prescribe, order, recommend, or approve a service does not, of itself, make such treatment Medically Necessary.

**Named Insured** means the named insured(s) stated in the Declarations.

**Newborn** means an infant who has just been born of a Surrogate and is in the immediate post-birth period up to 60 days during which the infant undergoes various medical assessments, evaluations, and services to ensure their health and well-being.

**Nursing Care** means services provided by a graduate nurse who has been registered or licensed to practice by a State Board of Nurse Examiners or other state authority, and who is legally entitled to place the letters "R.N." or "R. P.N." after his/her name.

**Physician** means a currently licensed practitioner of the healing arts acting in good standing and within the scope of his/her license. It does not include the Insured Intended Parent(s), Surrogate, or any spouse, parents, parents-in-law or dependents or any other person related to the Insured Intended Parent(s) or Surrogate or who lives with the Insured Intended Parent(s) or Surrogate.

**Pre-Certification**, also known as pre-authorization, pre-negotiation, or prior authorization, is a requirement that the Insured Intended Parent(s) or health care Provider obtains approval before providing a patient with medical services after release from the Hospital (with the exception of routine well baby services), pharmaceutical products, or pieces of medical equipment. Pre-certification is a process used to prevent unnecessary procedures, tests, or medications, and to ensure that the proposed treatment is Medically Necessary. The process involves a review, during which the appropriateness and the necessity of the medical service is evaluated against the Company's coverage guidelines. If the service is approved, the Company will cover the portion of the cost according to whether the Covered Expense is negotiated and Pre-Certified or Usual and Customary as defined in the Policy. If the service is not approved, the Company may not provide coverage, leaving the Insured Intended Parent(s) responsible for the cost or Balance Billing amount.

**Pregnancy** is the state of carrying a developing embryo(s) or fetus(es) within the female body.

**Prescription Drugs** mean medications whose sale and use are legally restricted to the order of a Physician and which can only be obtained with a Physician's written prescription.

**Provider** means an entity, facility, or person who provides health care services, who practices within the scope of his or her license and is licensed in the United States.

**Self-Insured Retention Amount** means the amount of allowable medical expenses which must be prepaid on a per Pregnancy basis by the Insured Intended Parent(s) before any indemnity under the Policy is payable. The Self-Insured Retention Amount is shown in the Declarations and is for one Pregnancy, by the named Surrogate, for the Coverage Period.

**Split Embryo** means the unexpected, natural biological occurrence wherein a single, fertilized embryo transferred to a Surrogate divides to form two or more genetically identical embryos, resulting in a multiple pregnancy (e.g., twins or triplets) where a singleton pregnancy was the anticipated outcome. This occurrence is not the result of a deliberate medical procedure to transfer multiple embryos but is an unplanned biological event that occurs after transfer.

**Surrogate** means the Surrogate named in the Declarations and the woman who is under Contract and whose Pregnancy is a result of the surgical implantation of a fertilized egg for the purpose of carrying a developing embryo(s) or fetus(es) to term and for the Insured Intended Parent(s). The Surrogate must be a citizen or legal permanent resident of the United States.

**United States (U.S.)** means the 48 contiguous states of the United States of America and the District of Columbia.

**Usual and Customary** means the average amount charged by most providers for treatment, service or supplies in the geographic area where the treatment, service or supply is provided.

**We, Us and Our** means Convex Insurance UK Limited.

**Written Request** means a request on any form provided by the authorized administrator for particular information.

**You, Your** means the Insured Intended Parent(s) named in the Declarations.

**11:59 PM** means 11:59 PM at the Named Insured's location.

**12:01 AM** means 12:01 AM at the Named Insured's location.



## DESCRIPTION OF COVERAGES

### CONTRACTUAL LIABILITY REIMBURSEMENT INDEMNITY

Contractual Liability Reimbursement Indemnity is payable under this Policy for Your liability assumed under Contract for Covered Expenses incurred by Your Newborn for a wide range of medical services. The items which may be indemnified are shown in this section under covered expenses. The indemnity will not begin until the agreed Self-Insured Retention Amount has been exhausted. Once indemnity begins, this Policy will indemnify Covered Expenses in excess of the Self-Insured Retention Amount, up to the Limit of Liability. Covered Expenses must be Medically Necessary and services incurred while covered under the Policy and directly related to the Newborn.

We reserve the right to obtain a second opinion for any medical service before indemnity is payable under this Policy. A required second opinion will not be subject to the Self-Insured Retention Amount or reduce the Limit of Liability. Any applicable costs will be paid by the Company.

This Policy provides limited Contractual Liability Reimbursement Indemnity and should not be considered basic hospital or basic major medical health insurance coverage. Indemnity hereon is only payable in excess of the Policy agreed Self-Insured Retention Amount.

Covered Expenses include:

1. Hospital and nursery charges relative to the Newborn only;
2. High dependency unit and neonatal intensive care unit;
3. Routine well baby care including required vaccinations and circumcision;
4. Medically Necessary consultation services by a Physician;
5. Nursing Care by a licensed resident or daily nurse who is not an Immediate Family Member. In most cases, the services of a private duty nurse are not Medically Necessary. In any case when such services are not deemed Medically Necessary, charges made by a private duty nurse will not be considered Covered Expenses. No benefits will be paid for such private duty nursing.
6. Anesthesia services related to surgical, or other similar services;
7. Inpatient Hospital services;
8. Outpatient services;
9. Prescription Drugs, which are medically necessary and prescribed by a Physician;
10. Home health care services;
11. Diagnostic services and supplies; and
12. Medically Necessary Ambulance Services to a medical facility for emergency care for a Newborn. The following limitations apply to Ambulance Services:
  - a. Non-emergency ambulance transport is not covered. No indemnity is provided for the cost of transport in vehicles such as a chair ambulance, car or taxi,
  - b. Emergency transportation to the nearest suitable medical facility,
  - c. No reimbursement is provided for transportation to or from medical appointments,
  - d. Reimbursement is provided for air ambulance transport only when it is Medically Necessary for the Newborn to be transported by air rather than ground ambulance. It is not considered Medically Necessary to transport the Newborn by air solely for the benefit of a higher level neo-natal intensive care unit.

**DATE A COVERED EXPENSE IS INCURRED:**

Unless otherwise stated in this Policy, the date that an indemnified medical expense is incurred is the date that the covered medical treatment, service or supply is rendered to the Insured Intended Parent(s)' Newborn.

#### **COST MANAGEMENT SERVICES:**

We may, at Our option, utilize the services of an Administrator in those situations where such services would be in the best interests of Us and where We believe the services would be beneficial to the Newborn. The Insured Intended Parent(s) are required to fully cooperate with Our appointed Administrator.

#### **COORDINATION AND PRE-CERTIFICATION REQUIREMENT:**

This Policy requires Pre-Certification of Medically Necessary Newborn related medical services. It is a conditional warranty for coverage hereon that all Medically Necessary medical services are coordinated and pre-certified by Our appointed Administrator. In most cases, the Administrator will work with Your Providers to discuss proposed services before Your Newborn receives the care. To begin this process, You must request approval from the Administrator before Your Newborn receives covered services. This written approval is called Pre-Certification. Pre-Certification is not a guarantee of indemnity. Indemnity is subject to the terms and conditions of this Policy. If You do not obtain the required Pre-Certification of Medically Necessary Newborn medical services from the Administrator, a denial of coverage will be applied to the cost of Medically Necessary covered services. This plan requires Pre-Certification not less than seven (7) days in advance, of all medical treatment except Medically Necessary urgent or emergency treatment. Pre-certification is not required in the event of an emergency treatment situation; however, the Insured Intended Parent(s) must report the incident to the Administrator within seventy-two (72) hours or within a reasonable timeframe.

## **EXCLUSIONS**

This insurance shall not indemnify the Insured Intended Parent(s) for any liability to pay any cost or expense arising from, relating to or attributable to:

1. Loss Occurrences that are directly connected to a breach of Contract by the Surrogate.
2. Charges or expenses that are Experimental or Investigative in nature.
3. Charges or expenses in excess of the covered allowances/limitations or which exceed 200% of the Medicare reimbursement rate.
4. Expenses for which You are not legally required to pay.
5. Prenatal genetic testing and/or counseling, including any and all laboratory testing conducted to establish or diagnose a potential genetic disorder of the fetus(es), child, Newborn or unborn.
6. Services and supplies which are not authorized by a Physician and/or Us, or which are not Medically Necessary or appropriate to the treatment of the Newborn as determined by Us. This includes but is not limited to breast-feeding related equipment and supplies.
7. Non-prescription drugs, which include but are not limited to: vitamins; tonic; nutritional supplements; biochemical; herbal remedies; or other over-the-counter supplements. Physician prescribed baby formula deemed Medically Necessary is not excluded from coverage.
8. Treatment that is not scientifically or medically recognized by standards in the United States.
9. Professional medical services provided by anyone other than a licensed Physician or, where a Physician is not available, a licensed Nursing Care practitioner.
10. Treatment outside of the 48-state contiguous United States of America, including the District of Columbia.
11. Transplants of any organs for any reason, unless deemed Medically Necessary by a Physician within the first 60 days after Childbirth.
12. Services or supplies not included in the Description of Coverages.



13. Missed appointments. Physicians and other Providers may charge You for failing to keep scheduled appointments without giving reasonable notice to the office. No Indemnity is provided for these charges. You are responsible for these charges.
14. A Loss Occurrence caused by Insured Intended Parent(s) or the Surrogate directly or indirectly:
  - a. arising from or in consequence of war, invasion, acts of foreign enemies, hostilities (whether war declared or not), civil war, terrorism, rebellion, revolution, insurrection, military, or usurped power, riot, strike or popular uprising.
  - b. participation in mutiny, riot, strike, military or popular uprising, insurrection, rebellion, military or usurped power.
  - c. participation in civil commotion or an illegal act, including resultant imprisonment.
  - d. treatment while in service as a member of a police or military unit.
  - e. martial law or state of siege, or any event or causes which determine the proclamation or maintenance of martial law or state of siege.
15. Intentionally inflicted Loss Occurrence to the Newborn by the Insured Intended Parents(s) or Surrogate while sane or insane.
16. Loss Occurrence sustained to the Newborn while the Insured Intended Parent(s) or Surrogate (even prior to Childbirth) are under the influence of intoxicating liquor or illicit drugs, other than drugs taken in accordance with treatment prescribed by a Physician.
17. Diagnostic services, testing, and/or treatment of a sexually transmitted disease. This would include, but is not limited to; herpes, gonorrhea, syphilis, cytomegalovirus, or any disability attributable, directly or indirectly, to Human Immunodeficiency Virus (HIV), and/or related illness including Acquired Immune Deficiency Syndromes (AIDS), or any mutant derivative thereof unless it is deemed Medically Necessary by a Physician.
18. Cosmetic surgery and associated treatment, unless deemed Medically Necessary to correct a Loss Occurrence or birth defect.
19. Non-prescribed dressings, bandages, syringes, instruments, and appliances. This includes but is not limited to breast-feeding related equipment and supplies.
20. Any expenses, service or treatment for any form of food supplement or augmentation (unless Medically Necessary to sustain life in a critically ill Newborn).
21. Services provided by an Immediate Family Member of the Insured Intended Parent(s) whether related by blood or law or anyone else living with the Insured Intended Parent(s) or their Surrogate's Immediate Family Member whether related by blood or law or anyone else living with the Surrogate.
22. Vaccinations not intended for use on Newborns during the applicable Coverage Period.
23. Costs or expenses for televisions, computers, radios, baby monitors, video recorders or other similar machines or equipment, including sleep assist devices such as cribs and rockers.

## LIMIT OF LIABILITY

The Limit of Liability shown in the Declarations apply as follows: The amount shown in the Declarations for the Newborn is the most We will pay for all claims involving all Loss Occurrences during the Coverage Period and after the Self-Insured Retention Amount has been exhausted. Loss adjustment expenses incurred as part of the negotiated payment for Covered Expenses will be added to the amount paid and will subsequently reduce Our overall Limit of Liability.

## GENERAL PROVISIONS

**ENTIRE CONTRACT:** The entire contract consists of the Policy, riders, endorsements and any other documents requested and accepted by Us. No change in this Policy is valid unless approved by an officer of the Company. Such approval must be signed by Our officer and attached to this Policy. No broker, agent or producer can change or waive any provision of this Policy.

**AMENDMENTS:** Any change in this Policy will be made by amendment and approved by Us. Such amendment will not require the consent of any Named Insured. The effective time for any amendments shall be 12:01 A.M. Standard Time at the location of the Named Insured.

**ASSIGNMENT:** This Policy is not assignable. We assume no responsibility as to any unauthorized assignment.

**COMPLAINTS PROCEDURE:** If there any questions or concerns about this Policy or the handling of a claim, the Insured Intended Parent(s) should contact the Administrator. If the Insured Intended Parent(s) remain dissatisfied and wish to make a complaint, the Insured Intended Parent(s) can refer the matter to the complaints department at the Company.

**TIME LIMITS ON CERTAIN DEFENSES:** All statements made by the Named Insured or by a Surrogate are deemed representations and not warranties. No such statement will cause Us to deny or reduce benefits or be used as a defense to a claim unless a copy of the instrument containing the statement is or has been furnished to such person; or, in the event of his or her death or incapacity, his or her beneficiary or representative. After 2 years from the Named Insured's Effective Date of coverage, no such statement, except in the case of fraud or with respect to eligibility for coverage, will cause such coverage to be contested.

**LEGAL ACTION:** No Action can be brought against Us to compel payment on this Policy until the earlier of:

1. Sixty (60) days after We have received or waived proof of loss; or,
2. The date We deny full payment.

Action can be brought earlier if waiting will result in prejudice against the Insured Intended Parent(s). However, the mere fact that the Insured Intended Parent(s) must wait until the earliest of the above is not considered prejudicial. No action can be brought more than two (2) years after the time We require written proof of loss.

**SUBROGATION:** We shall be subrogated to the rights of recovery from any third party for Loss Occurrence or Covered Expense for which the third party may be liable. Those rights, including reasonable costs of collection, are assigned to Us to that extent. Except as provided by law, We have a first lien of the proceeds of any recovery from any third party. The Insured Intended Parent(s) and their Surrogate agree to help us to obtain our recovery and agree not to hinder Our recovery rights, by settlement or otherwise. No settlement, compromise, or waiver of rights shall be entered into without Our advance written consent, We have the option to take appropriate action to protect Our rights, including bringing suit. The proceeds of any settlement or judgment an Insured Intended Parent(s) receives shall be held in trust for Our benefit under this provision. We are entitled to recover any reasonable attorney fees We incur in collecting from such proceeds held by such Insured Intended Parent(s).

**CONFORMITY WITH STATE STATUTES:** Any provision of this Policy in conflict, on the Effective Date of this Policy, with the laws of the state where it is delivered, is amended to conform to the minimum requirements of such laws.

**CLERICAL ERROR:** Clerical errors that We or Our Administrator make in the Declarations, the issuance of a Policy, or in record keeping will not affect Your benefits or validate insurance for which You have not applied and paid the appropriate premium and been approved by Us. We have the right to offset or recover from You any overpayment of benefits made due to such errors.

**NON-WAIVER:** If We or You fail to enforce or to insist on strict compliance with any of the terms, conditions, limitations or exclusions of this Policy, that will not be considered a waiver of any rights under the Policy. A past failure to strictly enforce the Policy will not be a waiver of any rights in the future, even in the same situation or set of facts.

**PRIVACY:** We shall keep all confidential medical information received about the Insured Intended Parent(s) or their Surrogate in the strictest of confidence. Information shall not be released to any party for any purpose except to evaluate and process any claims made under this Policy unless either is requested by the party the information is about or ordered to by any court of law.

**YOUR RELATIONSHIP WITH YOUR PHYSICIAN OR HOSPITAL:** We are not responsible to You, or Your Newborn for the acts or omissions of any health care Provider or for the quality of any services or facilities. We are obliged only to provide the indemnity as stated under this Policy.

**PHYSICIAN, HOSPITAL, AND PROVIDER REPORTS:** Physicians, Hospitals, and Providers must give Us reports to help Us determine indemnity due You. You must authorize all Physicians, Hospitals, and Providers to release medical records to Us for Your Newborn. This is a condition of Our providing coverage. It is also a continuing condition of Our providing indemnity, if any. You expressly authorize and direct the following to release these records to Us:

1. Any Physician(s) who has diagnosed for, attended, treated, advised or rendered professional services to Your Newborn; and,
2. Any Provider or Hospital(s) in which Your Newborn was treated or diagnosed.

You must authorize them to furnish to Us any and all information related to services, care or facilities covered at any time in this Policy, to the extent required by a particular situation and allowed by pertinent statutes. You also expressly authorize Us to release to or obtain from any other insurance company or service or benefit plan the information We deem necessary to determine Our obligation, if any, under this Policy.

## CLAIM PROVISIONS

**CLAIM PAYMENT:** Proof of claim must be submitted within ninety (90) days of Loss Occurrence. Our Administrator must receive:

1. The completed claim forms;
2. The actual itemized bills for treatment or service;
3. Any other information We need to determine Our obligation under this Policy, including relevant sections of the Contract if necessary.

Circumstances beyond the Insured Intended Parent(s) control might prevent the Insured Intended Parent(s) from submitting such proof within this time period. If so, proof of claim must be filed as soon as possible; but, it cannot be later than eight (8) months after the Loss Occurrence, unless the Insured Intended Parent(s) was legally incapacitated as determined by a court of law during this entire period. Indemnity payable under this Policy will be paid promptly after receiving all information We need to determine Our obligation, if any, under the Policy.

## FACILITY OF PAYMENT:

**Direct Payment.** Unless otherwise stated in this Policy, We have the option of paying indemnity either directly to the Physician, Hospital, or other Provider of services, or to You. In either case, such payments discharge Our liability for the amounts paid.

**Recovery of Excess Payments.** If We pay more than what We are liable for, We can recover:

1. The excess from any person, Hospital or other Provider;
2. From any other insurance company or service or benefit plan that has had the benefit of any payment from Us; or,
3. By reducing payment of any future claims.

**FRAUDULENT ACTIONS:** If any claim under this Policy is in any respect fraudulent or if fraudulent means or devices are used by You or Your Surrogate or anyone acting on Your or Your Surrogate's behalf, We reserve the right to deny all indemnity and terminate coverage back to inception.

**CLAIM REVIEW:** Within sixty (60) days after payment or denial of a claim You feel that the We have made an error in payment of Your claim, You may request a review of the claim by Our review committee. The review committee will reevaluate Your claim. If the review committee upholds the original decision they will refer to the specific reasons why and any relevant sections of this Policy as to the reason for its decision.

**TIME OF PAYMENT OF CLAIMS:** Benefits due under this Policy for a loss will be paid immediately upon receipt of due written proof of such loss. Any balance remaining unpaid upon the termination of liability will be paid immediately upon receipt of a written proof of loss, unless otherwise stated in the Description of Benefits.

**CLAIMANT/NAMED INSURED COOPERATION:** Failure of the claimant/Named Insured to cooperate with Us in the administration of a claim may result in the termination of a claim. Such cooperation includes, but is not limited to, providing any information or documents needed to determine whether benefits are payable or the actual benefit amount due.

**FOREIGN CLAIMS:** Claims incurred or reported from outside the United States and its territories and jurisdictions must be submitted in English or with an English translation. Foreign claims must include the applicable medical records in English to show proper proof of loss.

**NON-PARTICIPATING:** The Policy is non-participating, and the Named Insured does not share in any revenue or dividends.

**PHYSICAL EXAMINATION AND AUTOPSY:** We will pay the cost and have the right to have the Newborn examined as often as reasonably necessary while the claim is pending. We can have an autopsy made at Our expense unless prohibited by law.

**RECOVERY OF BENEFITS:** Within 18 months of payment of a claim, and at any time if the Intended Insured Parent(s) does not provide complete information, was not eligible for coverage, or material misstatements or fraud have occurred, We reserve the right to recover from the Insured Intended Parent(s) any benefits We have paid for Loss Occurrences; and it will be assumed that the Insured Intended Parent(s) are in receipt of such benefits unless he or she gives Us proof such benefits have been denied to him or her.

**SUNSET CLAUSE:** We will cover the losses described in the Policy occurring during the Coverage Period provided that such losses are reported to Us within eight (8) months from the date of Childbirth or the date the Policy is canceled, whichever is earlier. Losses reported after such date, even if You only become aware of the loss after such date, are not eligible for indemnification under this Policy.

**ARBITRATION:** Any disputes arising out of or relating to this Policy, including its formation and validity, shall be referred to arbitration. The arbitration shall be held in the city of New York, or such other place as the parties may mutually agree. Notwithstanding the location of the arbitration, all proceedings pursuant hereto shall be governed by the law of the state of New York.

The arbitration shall be conducted in accordance with the ARIAS U.S. Neutral Panel Rules for the Resolution of U.S. Insurance and Reinsurance Disputes.